TEACHER GUIDE

Cambridge International AS & A Level Business (9609)

External environment

6 Business and its environment (A Level)
6.1 External influences on business activity ·
6.1.2 Economic



A revision lesson. Pupils run a car dealership in firms of four and revise external environment on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Passing on the rise

Round 1

The pound falls, so your imported cars cost more. Your buyers are very price sensitive.

If you pass on the full rise, what is most likely?

- **A** Your costs fall in pounds
- **B** Sales stay the same
- **C** Revenue rises with the higher price
- **D** Sales fall a lot and revenue falls

ANSWER

✓ Sales fall a lot and revenue falls

Why: With elastic demand, a higher price cuts sales by more, so revenue falls.

2 Pound and your firm

Round 1

You import cars from Europe and sell some to Irish dealers. The pound rises.

Which two effects are most likely?

- **A** Imports cost you more
- **B** Irish dealers buy more from you
- **C** Imports cost you less
- **D** Your costs do not change
- **E** Your cars cost more in Ireland

ANSWER

✓ Imports cost you less
✓ Your cars cost more in Ireland

Why: A strong pound: imports cheaper, exports dearer.

3 Euro cars in pounds

Round 2

Three cars on offer from European dealers, priced in euros.

Order by cost in pounds, cheapest first?

- **A** €23,100 at €1.05 to the £
- **B** €27,500 at €1.10 to the £
- **C** €30,000 at €1.25 to the £

ANSWER

1. €23,100 at €1.05 to the £
2. €30,000 at €1.25 to the £
3. €27,500 at €1.10 to the £

Why: £22,000, £24,000 and £25,000.

Topic tasks

4 Euro sale in pounds

Round 2

You sell used cars to an Irish dealer, in euros.

Fall in what the deal earns you, in £?

The deal, in euros	**€10,000**
£1 buys, before	**1.00**
£1 buys, now	**1.25**

ANSWER

£2,000

€10,000 ÷ 1.00 − €10,000 ÷ 1.25 = £2,000

Why: A stronger pound earns an exporter fewer pounds for the same euros.

5 Fixed or variable

Round 3

Your £100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

Which costs less over the year, and why?

A Stay on the variable rate

B Fix at 7%

ANSWER

✔ **Fix at 7%**

Why: Variable: £3,000 + £4,500 = £7,500 for the year; fixed at 7%: £7,000.

6 Rates: two effects

Round 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

Which pair of effects is most likely?

A Fewer buyers, dearer stock loans

B Fewer buyers, cheaper stock loans

C More buyers, cheaper stock loans

D More buyers, dearer stock loans

ANSWER

✔ **Fewer buyers, dearer stock loans**

Why: Dearer credit puts buyers off and raises the interest on your stock loan.

Final questions

Each pupil answers 6 final questions on external environment. They come from these 10 questions.

1. A UK importer buys in euros and sells in pounds. Sterling depreciates against the euro; prices are unchanged. What is the immediate likely effect?
   ✔ **Each car costs more in pounds, cutting margin**

2. A UK importer must pay €240,000. The rate moves from £0.84 per euro to £0.89 per euro before payment. How much extra sterling is required?
   ✔ **£12,000**

3. A UK importer expects to pay €400,000. Each £0.01 rise in the sterling cost of one euro changes its cost by how much?
   ✔ **£4,000**

4. A dealer sells most new cars on finance and most used cars for cash. Interest rates rise. What is the most likely effect?
   ✔ **New car sales fall more: finance costs rise; used are cash**

5. The UK economy enters a recession. Which dealer is likely to be hit hardest?
   ✔ **One selling new luxury cars, mostly on finance**

6. A dealer imports a car priced at €30,000. Before payment the rate moves from £0.85 to £0.88 per euro. By how much does the sterling cost rise?
   ✔ **£900**

7. The Bank of England raises interest rates. Why might a dealer selling most cars on finance see demand fall?
   ✔ **Monthly repayments rise, so fewer customers can afford them**

8. Inflation rises to 8%. What is the most direct effect on a dealership?
   ✔ **Its costs, such as wages and parts, rise**

9. The pound strengthens against the euro. What happens to the sterling cost of the cars a UK dealer imports from Germany?
   ✔ **It falls**

10. A dealer pays for its forecourt stock with a variable-rate loan. The Bank of England raises interest rates. What is the direct effect on the dealer?
    ✔ **Its interest costs rise, so profit falls**